

FEDERAL MARITIME COMMISSION

WAN HAI LINES, LTD.
AND WAN HAI LINES (USA) LTD. –

POSSIBLE VIOLATIONS OF 46 U.S.C. §
41102(c)

Docket No. 21-16

Served: December 15, 2022

BY THE COMMISSION: Daniel B. MAFFEI, *Chairman*,
Rebecca F. DYE, Louis E. SOLA, Max M. VEKICH,
Commissioners. Carl W. BENTZEL, *Commissioner*, concurring in
result.

Order Affirming Denial of Joint Settlement Motion

On May 2, 2022, the Commission’s Bureau of Enforcement (BOE)¹ and Wan Hai Lines, Ltd. and Wan Hai Lines (USA) Ltd. (“Wan Hai” or “Respondents”) jointly petitioned the Administrative Law Judge (ALJ) to approve a proposed settlement agreement (Agreement) in Docket No. 21-16, *Wan Hai Lines, Ltd. and Wan*

¹ The Commission reorganized its investigative and prosecution functions by consolidating them into a newly created Bureau of Enforcement, Investigations, and Compliance (BEIC) on July 29, 2022. Federal Maritime Commission, *New FMC Enforcement Structure*, July 29, 2022, available at <https://www.fmc.gov/new-fmc-enforcement-structure/>.

Hai Lines (USA) Ltd. – Possible Violations of 46 U.S.C. § 41102(c). The ALJ issued an order denying the petition and granted leave to file an interlocutory appeal. The parties subsequently appealed the ALJ's denial.

The Commission now affirms the ALJ's order and denies the joint appeal for the reasons below.

I. BACKGROUND

On December 30, 2021, the Commission instituted this adjudicatory proceeding to determine whether Wan Hai's practices relating to empty container returns possibly violated 46 U.S.C. § 41102(c). Order of Investigation and Hearing (Order of Investigation) (Dec. 30, 2021). Specifically, BOE alleged that, during the spring of 2021, Wan Hai charged detention during days when the return locations offered by the ocean common carrier had no available appointments with the terminal operator, or the terminal operator did not accept containers on a particular chassis. *Id.* ¶¶ 4-6. When the invoiced party provided Wan Hai with screenshots verifying these restrictions and requested that these charges be waived, Wan Hai denied such requests, stating that it did not control the appointment system. *Id.* ¶¶ 7-9. The Commission initiated this adjudicatory proceeding to determine whether Wan Hai was violating "46 U.S.C. § 41102(c) by its practice of assessing detention charges where: (a) Wan Hai either failed to provide an equipment return location; (b) where Wan Hai identified an equipment return location that was not accepting the container chassis; or (c) appointments were unavailable for equipment return." *Id.* ¶ 21. In the Order of Investigation, the Commission directed the ALJ to issue an initial decision within six months and the Commission to issue a final decision within 90 days of the initial decision. *Id.* at 9.

The parties filed several joint status reports and, after requesting a continuance, jointly moved for approval of their Agreement and for the action to be dismissed with prejudice. *See*

Joint Status Report (Jan. 28, 2022); Second Joint Status Report (Mar. 2, 2022); Joint Mot. for Continuance (April 1, 2022); Joint Mot. for Approval of Proposed Settlement Agreement (Joint Motion) (May 2, 2022).

After the parties jointly requested the ALJ approve the Agreement and dismiss BOE’s claims against Wan Hai, Orange Avenue Express (OAE), the complainant in *Orange Avenue Express v. Hapag-Lloyd*, Docket No. 21-10, moved to intervene. Mot. for Leave to Intervene (May 16, 2022). OAE opposed the Agreement’s terms. OAE contended that the Agreement may establish “safe harbor” guidelines regarding detention charges on empty container returns without the benefit of any data supporting those terms or public comment. *Id.* at 6. OAE identified specific concerns with the proposed settlement terms. *Id.* at 6-9. The ALJ directed BOE and Wan Hai to supplement their arguments regarding the merits of the Agreement and the parties complied. Order Requiring Suppl. Briefing (May 25, 2022); BOE Resp. to OAE Mot. for Leave to Intervene and Suppl. Brief (BOE Suppl. Brief) (June 1, 2022); Resp’ts Opp’n to Mot. for Leave to Intervene and Suppl. Briefing (Resp’ts Suppl. Brief) (June 1, 2022).

The ALJ rejected the proposed Agreement and found that the Agreement “lacks clarity” and may not be consistent with 46 U.S.C. § 41102(c). Order Denying Mot. to Intervene and Joint Settlement Mot. at 12 (Order Denying Joint Motion) (June 7, 2022). Specifically, the ALJ outlined several concerns with the proposed procedure for contesting detention charges in section 5 of the Agreement and found that that the Agreement sets out a procedure that is potentially confusing. *Id.* at 8-12. To “prevent substantial delay, expense or detriment to the public interest, or undue prejudice to a party,” the ALJ granted the parties leave to appeal the order. *Id.* at 12 (citing 46 C.F.R. § 502.221(a)).

The parties filed a joint appeal challenging the ALJ’s rejection of the Agreement. *See* Joint Appeal of the Order Denying Joint Pet. Mot. (Joint Appeal) (June 16, 2022). The parties argued

that the Agreement's terms are reasonable and the ALJ's concerns are unwarranted. *Id.* at 3-6. The parties also asserted that the rationale in the Commission's approval of a settlement agreement in Docket No. 21-09, *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LCC, Possible Violations of 46 U.S.C. § 41102(c)*, supports approval of this Agreement. *Id.* at 3.

II. DISCUSSION

A. Standard of Review

Parties seeking a voluntary dismissal based on a settlement must submit the settlement agreement so the Commission can determine whether the terms "appear[] to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). The Commission has a longstanding policy of encouraging settlements and applies presumptions favoring a finding that the terms are fair, correct, and valid. *World Chance Logistics (Hong Kong), Ltd. and Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984*, Docket No. 09-07, 2010 FMC LEXIS 27, *5 (FMC 2010) (citing *Old Ben Coal Company v. Sea-Land Service, Inc.*, 18 S.R.R. 1085, 1092-1094 (ALJ 1978)). However, that does not mean that the Commission reflexively approves any settlement proposed by the parties. *Id.*

B. Analysis

1. Whether the Agreement was a product of fraud, duress, undue influence, or mistake.

When the Commission reviews a settlement agreement, it considers whether the settlement is free of fraud, duress, undue influence, or mistake. 46 C.F.R. § 502.72(a)(3). The parties in this case are represented by counsel and affirm that the Agreement is the "result of good faith negotiations between the [p]arties." Joint Mem.

in Supp. of the Proposed Settlement (Joint Memorandum) at 2 (May 2, 2022). The parties also observe that they “have actively discussed settlement options since the commencement of the proceeding[.]” and the Agreement is the result of these many discussions. *Id.* at 4. It is clear to the Commission that the Agreement is not the result of fraud, duress, undue influence, mistake, or similar defects.

2. Whether the Agreement contravenes law or public policy.

Before granting its approval, the Commission reviews the terms to ensure that the agreement does not violate law or public policy. 46 C.F.R. § 502.72(a)(3).

- a. The Agreement lacks clarity and may be inconsistent with section 41102(c).

The ALJ found that the Agreement “lacks clarity and may not be consistent with section 41102(c) and the [interpretive rule on demurrage and detention],” and the Commission agrees.² In the Order Denying Joint Motion, the ALJ expressed concern with section 5(a)(iii) of the Agreement, titled “Evidence of Unavailability.” *Id.* at 8-10. The ALJ highlighted the requirement for an entity disputing the detention charge to provide screenshots showing appointment systems for all authorized return locations on the day prior to and the day of the waiver date. *Id.* at 9. She stated that “[it] is not clear whether the screen shot for the day prior to the waiver date is supposed to show whether appointments are available on the day prior or whether appointments were available on the day for which the waiver is requested.” *Id.* The ALJ posited that requiring screenshots to show unavailability of appointments for the waiver date and the date prior to the waiver date may violate the Shipping Act and the interpretive rule on demurrage and detention. *Id.* at 9-10.

² Order Denying Joint Motion at 12. The interpretive rule on demurrage and detention charges is found at 46 C.F.R. § 545.5.

Furthermore, adding to the lack of clarity, the ALJ noted that the Agreement requires the Respondents to “provide a list of locations it has authorized to accept empty containers, updated daily by 4 pm[.]” *Id.* at 10. However, entities requesting a waiver must take a screenshot proving unavailability of appointments at authorized return locations within three hours of when appointments become available. As a result, because the list of authorized return locations would be provided at 4 pm, the ALJ questioned whether truckers or shippers will have the list of authorized return locations within the required three-hour window of when appointments are made available by that terminal operator. *Id.* The ALJ observed that, under the Agreement, an entity must provide screenshots for two days for all terminals where the Respondents call within three hours of the release of available appointments and, because terminals make appointments available at different times, these screenshots would potentially be taken at different times throughout the day. *Id.* Because an entity may not know which containers it may not be able to return timely, to provide the evidence required under the Agreement, the entity would need to take screenshots for all containers with free time ending or where free time has ended. *Id.*

The ALJ also highlighted a potential inconsistency in the Agreement. The ALJ observed that the Agreement requires the Respondents to post a complete list of authorized return locations for empty containers, but that the Agreement also states that the return location information provided on its website is “advisory only and is not intended to constitute an exhaustive list” of the return locations. *Id.* at 10-11. After noting that truckers and shippers had previously expressed frustration regarding notice of where and when empty containers could be returned, the ALJ stated that it may not be reasonable to expect empty containers to be returned to locations that have not been identified by the Respondents or to document whether appointments are available at these locations before they have been identified. *Id.* at 11.

The ALJ also expressed concerns regarding the requirement that an entity requesting a waiver where dual transactions appointments were available provide a statement from the motor carrier that it attempted in good faith to arrange for a dual transaction and was unable to do so. *Id.* The ALJ stated that this requirement seemed duplicative of the requirement that, if a screenshot shows an available appointment, then the waiver request must include a description of why the appointment could not be used. *Id.* The Commission concurs with the concerns raised by the ALJ and agrees that the Agreement terms, as written, lack clarity.

BOE and Wan Hai asserted that the ALJ’s “concerns regarding terms of the Settlement Agreement are not warranted.” Joint Appeal at 3. The parties then addressed specific aspects of section 5 of the Agreement that the ALJ highlighted as problematic. *Id.* at 3-6. In their Joint Appeal, the parties discussed specific provisions within section 5 to clarify how they interpret and apply these terms. Without the additional discussion regarding the interpretation and application of section 5, the Agreement, as written, lacks clarity and may violate section 41102(c) or the demurrage or detention interpretive rule.

- b. The Agreement terms contravene new provisions of law and policy.

Before the Commission may approve a settlement agreement, it reviews the terms to ensure that the agreement does not violate any law or policy. President Biden signed the *Ocean Shipping Reform Act of 2022* (OSRA 2022) into law. Pub. L. No. 117-146, 136 Stat. 1272 (2022). Because OSRA 2022 is now law, the Commission must review the Agreement to ensure that it does not contravene OSRA 2022 or its policies.³

³ The parties cited recent Commission approval of a settlement agreement that is “substantially similar in all material respects,” to the Agreement, and argued that the same rationale supports approval of the Agreement. Joint Appeal at 3 (citing Docket No. 21-09, *Order Denying Mot. to Intervene and Granting Joint Pet. To*

The Commission concludes that the Agreement contravenes several key OSRA 2022 provisions that relate to demurrage and detention charges. First, OSRA 2022 addressed the balance between common carriers and the shipping public in dealing with complaints about demurrage and detention charges. OSRA 2022 § 10, 46 U.S.C. § 41310. Specifically, pursuant to OSRA 2022, common carriers “bear the burden of establishing the reasonableness of any demurrage or detention charges pursuant to [the demurrage and detention interpretive rule] or successor regulations.” OSRA 2022 § 10, 46 U.S.C. § 41310(b)(2). This provision shifts the burden of proof regarding the reasonableness of detention or demurrage charges from the invoiced party to the common carrier.

Second, OSRA 2022 requires common carriers to provide certain information on invoices for demurrage and detention charges to demonstrate that the charges comply with the demurrage and detention interpretive rule. OSRA 2022 § 7, 46 U.S.C. § 41104(a)(15) and (d)(2). Specifically, common carriers must include a statement that the charges are consistent with the Commission’s demurrage and detention rules. 46 U.S.C. § 41104(d)(2)(L). This provision requires common carriers to ensure invoiced demurrage or detention charges are consistent with the Commission’s rules, especially the demurrage and detention interpretive rule.

In their Joint Appeal, BOE and Wan Hai asserted that the remedial procedures outlined in the Agreement “balance the burden of traditional obligations” between common carriers and invoiced

Approve Proposed Settlement Agreement (June 8, 2022)(Docket No. 21-09 Order)). However, in Docket No. 21-09, the Commission did not review the settlement agreement for consistency with OSRA 2022 and its policies because President Biden signed the law after the Commission approved the agreement. Moreover, the Commission’s order in Docket No. 21-09 specifically limited its decision to the case at hand, and specifically stated that future cases would be reviewed and judged on their own facts and circumstances, so reliance by the parties on that order is not persuasive no matter how similar the language might be. Docket No. 21-09 Order at 3.

parties. Joint Appeal at 6. Wan Hai also stated that the Agreement does not create an unreasonable burden on motor carriers or the shipping public and “provides a reasonable framework for an entity seeking a waiver of detention charges[.]” Resp’ts Suppl. Brief at 7. However, the container return and waiver processes contained in section 5 of the Agreement do not reflect key shifts in law and policy contained in OSRA 2022 discussed *supra*. OSRA 2022 shifts which party should bear the burden when establishing the reasonableness of any demurrage or detention charge and requires common carriers to state that invoiced demurrage and detention charges are consistent with Commission rules. Demanding the entity requesting a waiver to take multiple screenshots at various times throughout the day depending on when individual terminal operators make appointments available may be unreasonable considering OSRA 2022 shifts the burden of establishing reasonableness of detention charges from the invoiced party to the common carrier. In addition, it appears that common carriers would need to confirm whether appointments were available before they can attest that detention charges are consistent with the Commission’s rules, including the demurrage and detention interpretive rule.

The Commission also disagrees with the parties’ assertion that section 5 of the Agreement establishes a container return process that provides “clear guidance to *the industry*” regarding how entities may successfully dispute any unfair, unjust, or unreasonable demurrage or detention charge when a container could not be returned due to an inability to secure an appointment or dual transaction requirements. BOE Suppl. Brief at 15 (emphasis added); *see* Resp’ts Suppl. Brief at 6. OSRA 2022 directed the Commission to initiate a rulemaking to define prohibited practices and to clarify reasonable rules and practices related to the assessment of demurrage and detention charges. Pub. L. No. 117-146 § 7(b), 136 Stat. at 1275-1276. The more appropriate mechanism to establish a container return process and to provide clear guidance to the industry would be a rulemaking proceeding in which the Commission could receive input from stakeholders, including motor carriers, shippers, and other common carriers, that are not parties to

this enforcement proceeding. Thus, in addition to conforming to the requirements of section 41102(c) and the *Interpretive Rule on Demurrage and Detention under the Shipping Act*, published May 18, 2020, any settlement agreement between the parties must be narrowly tailored to the specific facts of the case and must not contain prescriptive measures which may or may not be reasonable as applied to future litigants.⁴

III. CONCLUSION

For the reasons explained in the ALJ's Order Denying Motion to Intervene and Joint Settlement Motion and reiterated above, the Commission finds that the proposed settlement agreement contravenes law and policy.

Accordingly, for the reasons set forth above, the Commission **AFFIRMS** the ALJ's Order Denying Motion to Intervene and Joint Settlement Motion and **DENIES** the Joint Appeal of the Order Denying Joint Settlement Motion. It is

ORDERED that this matter be returned to the Administrative Law Judge so that the proceeding may continue. It is

FURTHER ORDERED that in accordance with the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61, that the initial decision of the Administrative Law Judge shall be issued within four months of the date of this order. It is

FURTHER ORDERED that in accordance with the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.61,

⁴ In addition, as the Commission recently indicated in Docket No. 21-17, settlement agreements between the Bureau of Enforcement and private parties in formal docketed proceedings instituted by the Commission must be accompanied by an analysis of the factors described in Subpart W of the Commission's Rules of Practice and Procedure. Docket No. 21-17, *Order Reversing the Initial Decision and Remanding* (Oct. 27, 2022), at 5-6.

the final decision of the Commission shall be issued within seven months of the date of this order.

By the Commission.

William Cody
Secretary